Town of Vineyard

Utah County, Utah

ANNUAL FINANCIAL REPORT

For the Year Ended June 30, 2016

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Town of Vineyard

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June 30, 2016

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GILBERT & STEWART
CERTIFIED PUBLIC ACCOUNTANTS
A PROFESSIONAL CORPORATION
ESTABLISHED 1974

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INDEPENDENT AUDITOR'S REPORT

Honorable Town Council
Town of Vineyard
Vineyard, Utah

January 24, 2017

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Town of Vineyard, as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise the Town's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards,* issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Town of Vineyard, as of June 30, 2016, and the respective changes in financial position and, where applicable, cash flows thereof, for the year then ended in accordance with accounting principles generally accepted in the United States of America.

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Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, and the required supplementary information regarding pensions as listed in the table of contents be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Town of Vineyard's basic financial statements. The combining and individual non-major fund financial statements and schedules are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The combining and individual non-major fund financial statements and schedules are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the combining and individual non-major fund financial statements and schedules are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated January 24, 2017 on our consideration of the Town of Vineyard's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Town of Vineyard's internal control over financial reporting and compliance.

Gilbert & Stewart

GILBERT & STEWART, CPA, PC
Certified Public Accountants

MANAGEMENT'S DISCUSSION AND ANALYSIS

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As management of Town of Vineyard (the Town), we offer readers of the Town's financial statements this narrative overview and analysis of financial activities of the Town for the fiscal year ended June 30, 2016

FINANCIAL HIGHLIGHTS

*Total net position for the Town as a whole increased by $32,583,554

*Total unrestricted net position for the City as a whole decreased by $10,976,214

*Total net position for governmental activities increased by $31,908,156

*Total net position for business-type activities increased by $795,418

BASIC FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the basic financial statements of Town of Duchesne. The basic financial statements comprise three components: (1) government wide financial statements, (2) fund financial statements, and (3) notes to the financial statements.

Government-wide financial statements. The government-wide financial statements are designed to provide readers with a broad overview of the Town's finances, in a manner similar to a private-sector business.

The statement of net position presents information on all of the Town's assets, deferred outflows, liabilities, and deferred inflows, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the Town is improving or deteriorating.

The statement of activities presents information showing how the Town's net position changed during the fiscal year reported. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods.

Both of the government-wide financial statements distinguish functions of the Town that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The statement of activities is presented on two pages. The first page reports the extent to which each function or program is self-supporting through fees and intergovernmental aid. The second page identifies the general revenues of the Town available to cover any remaining costs of the functions or programs.

Fund financial statements. A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The Town also uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the Town can be divided into two categories: governmental funds and proprietary funds.

Governmental funds. These funds are used to account for the same functions reported as governmental activities in the government-wide financial statements. Governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for government funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the government fund balance sheet and the government fund statement of the revenues, expenditures, and changes in fund balances provide reconciliation to facilitate this comparison between governmental funds and governmental activities.

The Town maintains two major governmental funds, the general fund and the redevelopment agency fund.

The Town adopts an annual appropriated budget for all its funds. Budgetary comparison schedules have been provided to demonstrate legal compliance with the adopted budget for the general fund and redevelopment agency fund.

The basic governmental fund financial statements can be found later in this report; see Table of Contents.

Proprietary funds. The Town maintains one type of proprietary fund. Enterprise funds are used to report the same functions presented as business-type activities in the government-wide financial statements. The Town uses four enterprise fund to account for the operations of the water, sewer, storm water, and transportation activities.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The enterprise funds are considered major funds of the Town.

The proprietary fund financial statements can be found later in this report; see Table of Contents.

Notes to the financial statements. The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements are reported later in this report; see Table of Contents.

Other information. In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the Town.

FINANCIAL ANALYSIS

Town of Vineyard's Net Position

	Governmental Activities		Business-type Activities			
	Current Year	Previous Year	Current Year	Previous Year	Total Current Year	Total Previous Year
Current and other assets	$ 8,092,951	18,734,385	2,254,142	477,293	10,347,094	19,211,678
Non-current assets	82,853,212	24,457,170	11,057,816	11,360,027	93,911,028	35,817,197
Deferred outflows of resources	130,931	25,248	-	-	130,931	25,248
Total assets and deferred outflows	**$ 91,077,094**	**43,216,803**	**13,311,959**	**11,837,320**	**104,389,053**	**55,054,123**
Long-term debt outstanding	$ 39,985,369	24,555,398	5,977,938	6,513,715	45,963,307	31,069,113
Other liabilities	648,509	421,093	2,160,166	825,147	2,808,675	1,246,240
Deferred inflows of resources	1,326,440	1,031,657	-	-	1,326,440	1,031,657
Total liabilities and deferred inflows	**41,960,319**	**26,008,148**	**8,138,103**	**7,338,862**	**50,098,422**	**33,347,010**
Net position:						
Net investment in capital assets	20,780,272	4,965,746	5,079,879	4,846,311	25,860,150	9,812,057
Restricted	29,588,940	2,304,601	898,610	671,274	30,487,550	2,975,875
Unrestricted	(1,252,400)	9,938,308	(804,633)	(1,019,128)	(2,057,034)	8,919,180
Total net position	**$ 49,116,811**	**17,208,655**	**5,173,855**	**4,498,457**	**54,290,667**	**21,707,112**

As noted earlier, net position may serve over time as a useful indicator of financial position. Total assets and deferred outflows of resources exceeded total liabilities and deferred inflow of resources at the close of the year by $54,290,667, an increase of $32,583,556 from the previous year. This change is equivalent to the net income for the year, in private sector terms.

Total unrestricted net position at the end of the year is a deficit of $2,057,034, which represents a decrease of $10,976,214 from the previous year. Unrestricted net position are those resources available to finance day-to-day operations without constraints established by debt covenants, enabling legislation, or other legal requirements.

The amount of current and other assets represent the amounts of cash and receivables on hand at the end of each year. Other liabilities are the amounts of current and other liabilities due, at year end, for goods and services acquired.

Changes in capital assets are the result of the difference, in the current year, of the cost of acquisition of capital assets and any depreciation charges on capital assets. Change in long-term debt is the difference in the amount of debt issued and that which has been paid during the year.

FINANCIAL ANALYSIS (continued)

Town of Vineyard's Change in Net Position

	Governmental Activities		Business-type Activities			
	Current Year	Previous Year	Current Year	Previous Year	Total Current Year	Total Previous Year
Program revenues:						
Charges for services	$ 1,654,965	1,155,102	760,116	395,033	2,415,081	1,550,135
Operating grants	26,251	19,582	-	-	26,251	19,582
Capital grants	954,884	683,946	870,628	1,268,781	1,825,512	1,952,727
General revenues:						
Property taxes	6,249,758	5,418,836	-	-	6,249,758	5,418,836
Sales tax	310,548	181,778	-	-	310,548	181,778
Other taxes	281,701	224,372	-	-	281,701	224,372
Other revenues	25,933,766	87,051	4,298	4,159	25,938,064	91,210
Total revenues	**35,411,872**	**7,770,667**	**1,635,042**	**1,667,973**	**37,046,913**	**9,438,640**
Expenses:						
General government	1,778,545	1,544,144	-	-	1,778,545	1,544,144
Public safety	413,803	236,783	-	-	413,803	236,783
Highways and public works	565,292	369,284	-	-	565,292	369,284
Parks and recreation	57,950	57,813	-	-	57,950	57,813
Interest on long-term debt	596,276	640,068	-	-	596,276	640,068
Water	-	-	507,868	374,258	507,868	374,258
Sewer	-	-	492,702	324,024	492,702	324,024
Storm water	-	-	46,185	-	46,185	-
Transportation	-	-	4,739	-	4,739	-
Total expenses	**3,411,865**	**2,848,092**	**1,051,494**	**698,282**	**4,463,359**	**3,546,374**
Transfers in (out)	(91,851)	(889,931)	91,851	889,931	-	-
Change in net position	**$ 31,908,156**	**4,032,644**	**675,398**	**1,859,622**	**32,583,554**	**5,892,266**

For the Town as a whole, total revenues increased by $27,608,273 compared to the previous year, while total expenses increased by $916,985. The total net change of $32,583,554 is, in private sector terms, the net income for the year which is $26,691,288 more than the previous year.

Governmental activities revenues of $35,411,872 is an increase of $27,641,205 from the previous year. This is primarily due to capital contributions during the year. Governmental activities expenses of $3,411,865 is an increase of $563,773 from the previous year. Expenses across all departments increased during the year.

Business-type activities revenue of $1,635,042 is a decrease of $32,931 from the previous year. Service revenues increased by $365,083 and capital grants decreased by $398,153. Business-type activities expenses of $1,051,494 is an increase of $353,212 from the previous year. This is due to an overall increase in operation expenses.

BALANCES AND TRANSACTIONS OF INDIVIDUAL FUNDS

Some of the more significant changes in fund balances and fund net position, and any restrictions on those amounts, is described below:

General Fund
The fund balance of $2,122,095 reflects an increase of $574,298 from the previous year. Total revenues increased by $950,839. Charges for services, fines and forfeiturs, interest, and miscellaneous revenues increased by $212,115. All other revenues increased by a total of $738,725.

Total expenditures, excluding transfers, increased by $702,761. Current expenditure changes by department were as follows: general government increased by $284,817; public safety increased by $177,020; highways and public works increased by $241,995; and parks and recreation decreased by $1,070.

The unassigned fund balance is $2,122,095.

Redevelopment Agency Fund
The fund balance of $28,718,790 reflects an increase of $16,813,842. Total revenues, excluding transfers, increased by $718,435, while total expenditures increased by $394,627.

Water Fund
Net operating loss was $1,034 compared to the previous year net operating loss of $48,111. The change in net position was $293,509, compared to the previous year's net change of $244,281.

The amount restricted for debt service is $898,610. The unrestricted net position is a deficit of $329,585.

Sewer Fund
Net operating loss was $319,527 compared to the previous year net operating loss of $255,138. The change in net position was $352,707, compared to the previous year's net change of $1,615,340.

The unrestricted net position is a deficit of $504,231.

GENERAL FUND BUDGETARY HIGHLIGHTS

Revenues for the current year, exclusive of transfers and fund balance appropriations, were originally budgeted in the amount of $1,948,000. The final budget was $2,942,000. Actual revenues, excluding transfers, amounted to $3,365,757, which was $423,357 more than budgeted.

Expenditures for the current year, excluding transfers, were originally budgeted in the amount of $1,865,000. The final budget was $2,142,400. Actual expenditures amounted to $1,991,459, which was $150,941 less than budgeted.

Transfers out for the year were originally budgeted in the amount of $83,000. The final budget for transfers out was for the amount of $800,000. Actual net transfers out were made in the amount of $800,000.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Town of Vineyard's Capital Assets (net of depreciation)

	Governmental Activities		Business-type Activities			
	Current Year	Previous Year	Current Year	Previous Year	Total Current Year	Total Previous Year
Net Capital Assets:						
Land and water rights	$ 10,754,674	2,266,684	531,575	531,575	11,286,249	2,798,259
Buildings	567,709	567,709	-	-	567,709	567,709
Improvements other than buildings	39,698	39,698	-	-	39,698	39,698
Machinery and equipment	98,192	47,137	-	-	98,192	47,137
Infrastructure	26,594,972	9,359,213	-	-	26,594,972	9,359,213
Water and sewer systems	-	-	10,341,849	10,341,849	10,341,849	10,341,849
Construction in progress	17,571,111	14,200,138	1,563,455	1,534,363	19,134,567	15,734,501
Total	55,626,356	26,480,578	12,436,879	12,407,787	68,063,235	38,888,365
Less accumulated depreciation	(2,362,084)	(2,023,408)	(1,379,063)	(1,047,760)	(3,741,147)	(3,071,168)
Net Capital Assets	**$ 53,264,272**	**24,457,170**	**11,057,816**	**11,360,027**	**64,322,088**	**35,817,197**

The total amount of capital assets, net of depreciation, of $64,322,088 is an increase of $28,504,891 from the previous year.

Governmental activities capital assets, net of depreciation, of $53,264,272 is an increase of $28,807,101 from the previous year.

Business-type activities capital assets, net of depreciation, of $11,057,816 is a decrease of $302,210 from the previous year.

Additional information regarding capital assets may be found in the notes to financial statements.

CAPITAL ASSETS AND DEBT ADMINISTRATION (continued)

Town of Vineyard's Outstanding Debt - Revenue Bonds

	Current Year	Previous Year
Governmental activities:		
2012 RDA Revenue Bonds	$ 8,539,000	8,923,000
2013 RDA Revenue Bonds	7,795,000	8,099,000
2016 Rail Spur Bonds	16,150,000	-
Note payable - Developer	7,349,769	7,533,398
Total governmental	**$ 39,833,769**	**24,555,398**
Business-type activities:		
Note Payable - Developer	5,977,937	6,513,715
Total business-type	**$ 5,977,937**	**6,513,715**
Total outstanding debt	**$ 45,811,706**	**31,069,113**

Additional information regarding the long-term liabilities may be found in the notes to financial statements.

ECONOMIC FACTORS AND NEXT YEAR'S BUDGETS AND RATES

No significant economic changes that would affect the Town are expected for the next year. Budgets have been set on essentially the same factors as the current year being reported.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the Town of Vineyard's finances for all those with an interest in the Town's finances. Questions concerning any information provided in this report or requests for additional financial information should be addressed to the Town Finance Direct, Town of Vineyard, 240 E. Grammond Rd., Vineyard, UT 84058.

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BASIC FINANCIAL STATEMENTS

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Town of Vineyard

STATEMENT OF NET POSITION

June 30, 2016

	Governmental Activities	Business-type Activities	Total
ASSETS AND DEFERRED OUTFLOWS OF RESOURCES:			
Assets:			
Current assets:			
Cash and cash equivalents	$ 6,526,400	2,163,884	8,690,284
Accounts receivable, net	1,566,551	90,258	1,656,810
Total current assets	8,092,951	2,254,142	10,347,094
Non-current assets:			
Restricted cash and cash equivalents	29,588,940	-	29,588,940
Capital assets:			
Not being depreciated	28,325,785	2,095,030	30,420,816
Net of accumulated depreciation	24,938,486	8,962,786	33,901,272
Net pension assets	36	-	36
Total non-current assets	82,853,248	11,057,816	93,911,064
Total assets	90,946,199	13,311,959	104,258,158
Deferred outflows of resources - pensions	130,931	-	130,931
Total assets and deferred outflows of resources	**$ 91,077,130**	**13,311,959**	**104,389,089**
LIABILITIES AND DEFERRED INFLOWS OF RESOURCES:			
Liabilities:			
Current liabilities:			
Outstanding checks in excess of deposits	$ -	449,858	449,858
Accounts payable and accrued liabilities	550,263	1,710,308	2,260,571
Accrued interest payable	98,246	-	98,246
Revenue bonds due within one year	2,377,000	-	2,377,000
Total current liabilities	3,025,509	2,160,166	5,185,675
Non-current liabilities:			
Notes payable	7,349,769	5,977,938	13,327,707
Revenue bonds due after one year	30,107,000	-	30,107,000
Net pension liability	151,600	-	151,600
Total non-current liabilities	37,608,369	5,977,938	43,586,307
Total liabilities	40,633,878	8,138,103	48,771,982
Deferred inflows of resources - property taxes	1,309,739	-	1,309,739
Deferred inflows of resources - pensions	16,701	-	16,701
Total liabilities and deferred inflows of resources	**41,960,319**	**8,138,103**	**50,098,422**
NET POSITION:			
Net investment in capital assets	20,780,272	5,079,879	25,860,150
Restricted for:			
Debt service	1,304,962	898,610	2,203,572
Construction	28,283,978	-	28,283,978
Unrestricted	(1,252,400)	(804,633)	(2,057,034)
Total net position	**49,116,811**	**5,173,855**	**54,290,667**
Total liabilities, deferred inflows of resources and net position	**$ 91,077,130**	**13,311,959**	**104,389,089**

The notes to the financial statements are an integral part of this statement.

Town of Vineyard

STATEMENT OF ACTIVITIES

For the Year Ended June 30, 2016

FUNCTIONS/PROGRAMS:	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Net (Expense) Revenue (To Next Page)
Primary government:					
Governmental activities:					
General government	$ 1,778,545	988,138	-	-	(790,407)
Public safety	413,803	17,863	-	-	(395,940)
Highways and public works	565,292	648,964	26,251	954,884	1,064,807
Parks and recreation	57,950	-	-	-	(57,950)
Interest on long-term debt	596,276	-	-	-	(596,276)
Total governmental activities	**3,411,865**	**1,654,965**	**26,251**	**954,884**	**(775,765)**
Business-type activities:					
Water	507,868	506,834	-	290,245	289,211
Sewer	492,702	173,175	-	580,383	260,856
Storm water	46,185	57,038	-	-	10,853
Transporation utility	4,739	23,069	-	-	18,330
Total business-type activities	**1,051,494**	**760,116**	**-**	**870,628**	**579,250**
Total primary government	**$ 4,463,359**	**2,415,081**	**26,251**	**1,825,512**	**(196,516)**

(continued on next page)

The notes to the financial statements are an integral part of this statement.

Town of Vineyard

STATEMENT OF ACTIVITIES (continued)

For the Year Ended June 30, 2016

	Governmental Activities	Business-type Activities	Total
CHANGES IN NET POSITION:			
Net (expense) revenue (from previous page)	**$ (775,765)**	**579,250**	**(196,516)**
General revenues:			
Property taxes	6,249,758	-	6,249,758
Sales tax	310,548	-	310,548
Other taxes	281,701	-	281,701
Unrestricted investment earnings	205,214	4,298	209,512
Contributed assets	25,723,749	-	25,723,749
Miscellaneous	4,803	-	4,803
Total general revenues	**32,775,772**	**4,298**	**32,780,070**
Transfers in (out)	(91,851)	91,851	-
Change in net position	**31,908,156**	**675,398**	**32,583,554**
Net position - beginning restated	17,208,655	4,498,457	21,707,112
Net position - ending	**$ 49,116,811**	**$ 5,173,854**	**54,290,665**

The notes to the financial statements are an integral part of this statement.

Town of Vineyard

BALANCE SHEET - GOVERNMENTAL FUNDS

June 30, 2016

	General Fund	Special Revenue RDA Fund	Nonmajor Funds: Special Revenue Impact Fee Fund	Nonmajor Funds: Capital Projects Fund	Total Governmental Funds
ASSETS					
Cash and cash equivalents	$ 2,374,157	869,135	-	3,283,108	6,526,400
Accounts receivable, net of allowances	1,516,075	50,476	-	-	1,566,551
Due from other funds	-	-	-	-	-
Restricted cash and cash equivalents	-	27,803,374	1,785,566	-	29,588,940
TOTAL ASSETS	**$ 3,890,232**	**28,722,985**	**1,785,566**	**3,283,108**	**37,681,891**
LIABILITIES AND DEFERRED INFLOWS OF RESOURCES					
Liabilities:					
Accounts payable	$ 3,204	60	-	118,228	121,492
Accrued liabilities	424,636	4,135	-	-	428,771
Total liabilities	427,840	4,195	-	118,228	550,263
Deferred inflows of resources - property taxes	1,340,297	-	-	-	1,340,297
TOTAL LIABILITIES AND DEFERRED INFLOWS OF RESOURCES	**1,768,137**	**4,195**	**-**	**118,228**	**1,890,560**
FUND BALANCES:					
Restricted for:					
Impact fees	-	-	1,785,566	-	1,785,566
Debt service	-	1,304,962	-	-	1,304,962
Redevelopment Agency	-	26,498,412	-	-	26,498,412
Assigned for:					
Redevelopment Agency	-	915,416	-	-	915,416
Capital projects	-	-	-	3,164,880	3,164,880
Unassigned	2,122,095	-	-	-	32,700,803
TOTAL FUND BALANCES	**2,122,095**	**28,718,790**	**1,785,566**	**3,164,880**	**35,791,331**
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND FUND BALANCES	**$ 3,890,232**	**28,722,985**	**1,785,566**	**3,283,108**	**37,681,891**

The notes to the financial statements are an integral part of this statement.

Town of Vineyard

STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES - GOVERNMENTAL FUNDS

For the Year Ended June 30, 2016

	General Fund	Special Revenue RDA Fund	Nonmajor Funds: Special Revenue Impact Fee Fund	Nonmajor Funds: Capital Projects Fund	Total Governmental Funds
Revenues:					
Taxes:					
Property	$ 1,124,352	5,149,198	-	-	6,273,550
Sales	310,548	-	-	-	310,548
Other taxes	281,701	-	-	-	281,701
License and permits	913,731	-	-	-	913,731
Intergovernmental revenues	26,251	-	-	-	26,251
Charges for services	648,964	74,407	-	-	723,371
Fines and forfeitures	17,863	-	-	-	17,863
Interest	37,545	162,581	5,088	-	205,214
Miscellaneous revenue	4,803	-	-	-	4,803
Total revenues	**3,365,757**	**5,386,186**	**5,088**	**-**	**8,757,031**
Expenditures:					
Current:					
General government	1,224,207	3,436,708	-	489,167	5,150,082
Public safety	413,803	-	-	-	413,803
Highways and public works	299,305	-	-	-	299,305
Parks and recreation	54,145	-	-	-	54,145
Debt service:					
Principal	-	688,000	-	-	688,000
Interest	-	597,636	-	-	597,636
Total expenditures	**1,991,459**	**4,722,344**	**-**	**489,167**	**7,202,970**
Excess (deficiency) of revenues over (under) expenditures	**1,374,298**	**663,842**	**5,088**	**(489,167)**	**1,554,061**
Other financing sources and (uses):					
Bond proceeds	-	16,150,000	-	-	16,150,000
Impact fees	-	-	954,884	-	954,884
Developer reimbursements	-	-	(183,629)	-	(183,629)
Transfers in	-	-	-	800,000	800,000
Transfers (out)	(800,000)	-	-	(91,851)	(891,851)
Total other financing sources and (uses)	**(800,000)**	**16,150,000**	**771,255**	**708,149**	**16,829,404**
Net change in fund balances	**574,298**	**16,813,842**	**776,343**	**218,982**	**18,383,465**
Fund balances - beginning of year	1,547,797	11,904,948	1,009,223	2,945,898	17,407,866
Fund balance - end of year	**$ 2,122,095**	**28,718,790**	**1,785,566**	**3,164,880**	**35,791,331**

The notes to the financial statements are an integral part of this statement.

Town of Vineyard

RECONCILIATION OF THE BALANCE SHEET OF GOVERNMENTAL FUNDS TO THE STATEMENT OF NET POSITION

June 30, 2016

Total Fund Balance for Governmental Funds	**$ 35,791,331**
Total net position reported for governmental activities in the statement of net position is different because:	
Capital assets used in governmental funds are not financial resources and therefore are not reported in the funds:	
Capital assets, at cost	55,626,356
Less accumulated depreciation	(2,362,084)
Net capital assets	53,264,272
Net pension assets are not financial resources and, therefore, are not reported in the funds.	36
Deferred outflows of resources - pensions, a consumption of net position that applies to future periods, is not shown in the funds statements.	130,931
Long-term liabilities, for funds other than enterprise funds, are recorded in the government-wide statements but not in the fund statements.	
General long-term debt and notes	(39,833,769)
Interest accrued but not yet paid on long-term debt	(98,246)
Net pension liability	(151,600)
Certain revenue is deferred in governmental funds but not in the statement of net position because it qualifies for recognition under the economic resources measurement focus.	
Deferred inflows of resources - delinquent property tax	30,558
Deferred inflows of resources - pensions	(16,701)
Total Net Position of Governmental Activities	**$ 49,116,811**

The notes to the financial statements are an integral part of this statement.

Town of Vineyard

RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES

For the Year Ended June 30, 2016

Net Change in Fund Balances - Total Governmental Funds	**$ 18,383,465**
Amounts reported for governmental activities in the statement of activities are different because:	
Governmental funds report capital outlays as expenditures. However, in the statement of activities, assets with a material cost are capitalized and the cost is allocated over their estimated useful lives and reported as depreciation expenses.	
Capital outlays	3,422,028
Contributed land and infrastructure	25,723,749
Depreciation expense	(338,676)
Net	28,807,101
The Statement of Activities show pension benefits, pension expenses, and non-employer contributions related GASB 68 that are not shown in the fund statements.	18,393
Bond proceeds are reported as financing sources in government funds. In the statement of net assets, however, issuing debt increases long-term liabilities and does not affect the statement of activities.	
Debt issued - bonds	(16,150,000)
Repayment of debt principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net assets.	
Long-term debt principal repayments	688,000
Accrued interest for long-term debt is not reported as expenditure for the current period, while it is recorded in the statement of activities.	
Change in accrued interest	1,360
Governmental funds do not report certain revenues because these revenues are not available for current period expenses.	
Change in deferred inflow of resources - delinquent property tax	(23,792)
The Town has entered into an agreement to pay back a developer for cost incurred developing a part of the Town. The Town is responsible to pay back a portion of each impact fee collected in that area. Governmental funds report the payments as expenditures. However, in the statement of activities, it used to pay down the long-term liability to the developer.	183,629
Change in Net Position of Governmental Activities	**$ 31,908,156**

The notes to the financial statements are an integral part of this statement.

Town of Vineyard

STATEMENT OF NET POSITION - PROPRIETARY FUND

June 30, 2016

	Water Fund	Sewer Fund	Storm Water Fund	Transp-ortation Utility Fund	Total Utility Funds
ASSETS:					
Current assets:					
Cash and cash equivalents	$ 2,140,935	-	6,964	15,986	2,163,884
Accounts receivable, net	57,162	24,625	5,960	2,512	90,258
Total current assets	2,198,097	24,625	12,923	18,498	2,254,142
Non-current assets:					
Capital assets:					
Not being depreciated	531,575	1,563,455	-	-	2,095,030
Net of accumulated depreciation	2,008,974	6,953,812	-	-	8,962,786
Total non-current assets	2,540,549	8,517,267	-	-	11,057,816
Total assets	**$ 4,738,646**	**8,541,892**	**12,923**	**18,498**	**13,311,959**
LIABILITIES:					
Current liabilities:					
Oustanding checks in excess of deposits	$ -	449,858	-	-	449,858
Accounts payable	20,799	4,623	-	-	25,422
Accrued liabilities	1,608,273	74,374	2,071	167	1,684,886
Total current liabilities	1,629,072	528,856	2,071	167	2,160,166
Non-current liabilities:					
Notes payable	811,775	5,166,163	-	-	5,977,938
Total non-current liabilities	811,775	5,166,163	-	-	5,977,938
Total liabilities	**2,440,847**	**5,695,019**	**2,071**	**167**	**8,138,103**
NET POSITION:					
Net investment in capital assets	1,728,774	3,351,104	-	-	5,079,879
Restricted for:					
Capital projects	898,610	-	-	-	898,610
Unrestricted	(329,585)	(504,231)	10,853	18,330	(804,633)
Total net position	**2,297,799**	**2,846,874**	**10,853**	**18,330**	**5,173,855**
Total liabilities and net position	**$ 4,738,646**	**8,541,892**	**12,923**	**18,498**	**13,311,959**

The notes to the financial statements are an integral part of this statement.

Town of Vineyard

STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION - PROPRIETARY FUND

For the Year Ended June 30, 2016

	Water Fund	Sewer Fund	Storm Water Fund	Transp-ortation Utility Fund	Total Utility Funds
Operating income:					
Charges for sales and service	$ 390,882	173,175	57,038	23,069	644,164
Connection fees	115,952	-	-	-	115,952
Total operating income	**506,834**	**173,175**	**57,038**	**23,069**	**760,116**
Operating expenses:					
Personnel services	54,557	40,687	45,685	4,739	145,668
Utilities	857	10,287	-	-	11,145
Repair and maintenance	377,821	178,955	-	-	556,776
Professional and technical	5,748	-	500	-	6,248
Other supplies and expenses	355	-	-	-	355
Depreciation expense	68,530	262,772	-	-	331,303
Total operating expense	**507,868**	**492,702**	**46,185**	**4,739**	**1,051,494**
Net operating income (loss)	**(1,034)**	**(319,527)**	**10,853**	**18,330**	**(291,378)**
Non-operating income (expense):					
Impact fees	290,245	580,383	-	-	870,628
Interest income	4,298	-	-	-	4,298
Total non-operating income (expense)	**294,543**	**580,383**	**-**	**-**	**874,926**
Income (loss) before transfers	**293,509**	**260,856**	**10,853**	**18,330**	**583,547**
Transfers in (out)	-	91,851	-	-	91,851
Change in net position	**293,509**	**352,707**	**10,853**	**18,330**	**675,398**
Net position - beginning	2,004,290	2,494,167	-	-	4,498,457
Net position - ending	**$ 2,297,799**	**2,846,874**	**10,853**	**18,330**	**5,173,855**

The notes to the financial statements are an integral part of this statement.

Town of Vineyard

STATEMENT OF CASH FLOWS

For the Year Ended June 30, 2016

	Water Fund	Sewer Fund	Storm Water Fund	Transp-ortation Utility Fund	Total Utility Funds
Cash flows from operating activities:					
Cash received from customers - service	$ 483,780	162,221	51,078	20,557	717,637
Cash paid to suppliers	1,035,084	(256,855)	(500)	-	777,729
Cash paid to employees	(53,865)	(39,996)	(43,615)	(4,572)	(142,047)
Net cash provided (used) in operating activitie	**1,465,000**	**(134,630)**	**6,964**	**15,986**	**1,353,319**
Cash flows from noncapital financing activities:					
Net interfund activity	-	91,851	-	-	91,851
Net cash provided (used) in noncapital financing activities	**-**	**91,851**	**-**	**-**	**91,851**
Cash flows from capital and related financing activities:					
Cash received from impact fees	290,245	580,383	-	-	870,628
Cash payments for capital assets	-	(29,092)	-	-	(29,092)
Cash payments for notes payable	(48,121)	(487,657)	-	-	(535,778)
Net cash provided (used) in capital and related financing activities	**242,124**	**63,634**	**-**	**-**	**305,758**
Cash flows from investing activities:					
Cash received from interest earned	4,298	-	-	-	4,298
Net cash provided (used) in investing activities	**4,298**	**-**	**-**	**-**	**4,298**
Net increase (decrease) in cash	**1,711,422**	**20,855**	**6,964**	**15,986**	**1,755,226**
Cash balance, beginning	429,513	(470,713)	-	-	(41,200)
Cash balance, ending	**$ 2,140,935**	**(449,858)**	**6,964**	**15,986**	**1,714,026**
Cash reported on the statement of net position:					
Cash and cash equivalents	$ 2,140,935	(449,858)	6,964	15,986	1,714,026
Non-current restricted cash	-	-	-	-	-
Total cash and cash equivalents	**$ 2,140,935**	**(449,858)**	**6,964**	**15,986**	**1,714,026**

The notes to the financial statements are an integral part of this statement.

Town of Vineyard
STATEMENT OF CASH FLOWS (continued)
For the Year Ended June 30, 2016

Reconciliation of Operating Income to Net Cash Provided (Used) in Operating Activities:		Water Fund	Sewer Fund	Storm Water Fund	Transp-ortation Utility Fund	Total Utility Funds
Net operating income (expense)	**$**	**(1,034)**	**(319,527)**	**10,853**	**18,330**	**(291,378)**
Adjustments to reconcile operating income or (loss) to net cash provided (used)in operating activities:						
Depreciation and amortization		68,530	262,772	-	-	331,303
Changes in assets and liabilities:						
(Increase) decrease in receivables		(23,054)	(10,954)	(5,960)	(2,512)	(42,479)
Increase (decrease) in payables		1,420,557	(66,921)	2,071	167	1,355,874
Net cash provided (used) in operating activities	**$**	**1,465,000**	**(134,630)**	**6,964**	**15,986**	**1,353,319**

The notes to the financial statements are an integral part of this statement.

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1-A. Reporting entity

Town of Vineyard (the Town) a municipal corporation located in Utah County, Utah, operates under a Mayor-Council form of government. The Town of Vineyard was incorperated on May 11, 1989. The accompanying financial statements present their Town and its component units, entities for which the Town is considered to be financially accountable.

The Town includes the financial statements of the Redevelopment Agency as a blended component unit and is reported in the Redevelopment Agency special revenue fund. This fund has substantively the same governing board as the primary government.

1-B. Government-wide and fund financial statements

Government-wide Financial Statements

The government-wide financial statements, consisting of the statement of net assets and the statement of changes in net assets report information on all of the non-fiduciary activities of the primary government and its component units. For the most part, the effect of inter-fund activity has been removed from these statements. *Governmental activities* , which normally are supported by taxes and intergovernmental revenues, are reported separately from *business-type activities* , which rely to a significant extent on fees and charges for support.

The statement of activities reports the expenses of a given function offset by program revenues directly connected with the functional program. A function is an assembly of similar activities and may include portions of a fund or summarize more than one fund to capture the expenses and program revenues associated with a distinct functional activity. *Direct expenses* are those that are clearly identifiable with a specific function or segment. Indirect expenses are not allocated. All expenses are included in the applicable function. *Program revenues* include (1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privilege provided by a given function or segment and (2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as *general revenues* .

Fund Financial Statements

Separate financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, if any, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statement.

1-C. Measurement focus, basis of accounting and financial statement presentation

The financial statements of the Town are prepared in accordance with generally accepted accounting principles (GAAP).

The government-wide statements are reported using the economic resources measurement focus and the accrual basis of accounting, generally including the reclassification of internal activity (between or within funds). However, internal eliminations do not include utility services provided to Town departments or payments to the general fund by other funds for providing administrative and billing services for such funds. Reimbursements are reported as reductions to expenses. Proprietary and any fiduciary fund financial statements are also reported using this same focus and basis of accounting although internal activity is not eliminated in these statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax revenues are recognized in the year for which they are levied while grants are recognized when the grantor eligibility requirements are met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. The Town considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Property taxes, sales taxes, intergovernmental revenues, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period. Only the portion of special assessments, if any, receivable within the current fiscal period is considered to be susceptible to accrual as revenue of the current period. All other revenue items are considered to be measurable and available only when cash is received by the government.

Proprietary funds distinguish *operating* revenues and expenses from *non-operating* items. Operating income and expense reported in proprietary fund financial statements include those revenues and expenses related to the primary, continuing operations of the fund. Principal operating revenues for proprietary funds are charges to customers for sales or services. Principal operating expenses are the costs of providing goods or services, including administrative expenses and depreciation of capital assets. Other revenues and expenses are classified as non-operating in the financial statements.

Policy regarding use of restricted resources

When both restricted and unrestricted resources are available for use, it is the Town's policy to use restricted resources first, then unrestricted resources as needed. Restricted assets and liabilities payable from restricted assets current in nature are reported with current assets and current liabilities. *Restricted assets, non-current* reports assets restricted for acquisition or construction of non-current assets, or are restricted for liquidation of long-term debt.

1-D. Fund types and major funds

Governmental funds

The Town reports the following major governmental fund:

The *general fund* is the government's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund.

The *redevelopment agency special revenue fund* accounts for the funds to finance the acquisition for land, construct culinary water projects and sanitary sewer projects, placement of dry utilities and other infrastructures, and construct roads.

The Town reports the following nonmajor governmental funds:

The *capital projects fund* accounts for financial resources used for the acquisition or construction of the capital facilities of the Town (other than those of the enterprise funds).

The *impact fees special revenue fund* is used to account for the activity collection and use of impact fees.

Proprietary funds

The Town reports the following major proprietary funds:

The *water fund* is used to account for the activities regarding culinary water distribution.

The *sewer fund* is used to account for the activities regarding the operations of the sewer system collection and disposal system.

The *storm water fund* is used to account for the activities regarding the operations of the storm water system.

The *transportation utility fund* is used to account for the operations of the transportation activity.

1-E. Assets, Liabilities, and Net Position or Equity

1-E-*1. Deposit and Investments*

Investments are reported at fair value. Deposits are reported at cost, which approximates fair value. Investments of the Town are accounts at the Utah Public Treasurers Investments Fund. Additional information is contained in Note 3.

1-E-*2. Cash and Cash Equivalents*

The Town's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition.

1-E. Assets, Liabilities, and Net Assets or Equity (continued)

1-E-*3. Receivables and Payables*

Accounts receivable other than property taxes and intergovernmental receivables are from customers primarily for utility services. Property tax and intergovernmental receivables are considered collectible. Customer accounts are reported net of an allowance for uncollectible accounts. The allowance amount is estimated using accounts receivable past due more than 90 days.

During the course of operations, there may be transactions occur between funds that are representative of lending/borrowing arrangements outstanding at year-end. These are reported as either due to or due from other funds.

Property taxes are assessed and collected for the Town by Utah County and remitted to the Town shortly after collection. Property taxes become a lien on January 1 and are levied on the first Monday in August. Taxes are due and payable on November 1, and are delinquent after November 30. All dates are in the year of levy.

1-E-*4. Restricted Assets*

In accordance with certain revenue bond covenants, resources may be required to be set aside for the repayment of such bonds, and, on occasion, for the repair and maintenance of the assets acquired with the bond proceeds. These resources are classified as restricted assets on the balance sheet because of their limited use. Most capital grant agreements mandate that grant proceeds be spent only on capital assets. Unspent resources of this nature are also classified as restricted. The limited use resources described above involve a reported restriction of both cash and net assets.

Unspent proceeds of bonds issued to finance capital assets are also reported as restricted cash.

1-E-*5. Inventories and Prepaid items*

Inventories in governmental funds are not reported. These consist of immaterial amounts of expendable supplies for consumption. Such supplies are acquired as needed. Proprietary fund inventories, where material, are stated at the lower of cost or market, using the first-in, first-out basis.

Prepaid items record payments to vendors that benefit future reporting and are reported on the consumption basis. Both inventories and prepayments are similarly reported in government-wide and fund financial statements.

1-E-*6. Deferred Outflows/Inflows of Resources*

In addition to assets, the statement of net position will sometimes include a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. The Town reports deferred outflows of resources related to pensions as required by GASB 68.

1-E. Assets, Liabilities, and Net Assets or Equity (continued)

In addition to liabilities, the statement of net position will sometimes include a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources represents an acquisition of net position that applies to a future period(s) an so will not be recognized as an inflow of resources (revenue) until then. Property taxes to be collected in November were unavailable in the current fiscal year. Accordingly, these property taxes are deferred and will be recognized as an inflow of resources in the period that the amounts become available. Additionally, the Town reports deferred inflows of resources related to pensions as required by GASB 68.

1-E-*7. Pensions*

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Utah Retirement Systems Pension Plan (URS) and additions to/deductions from URS's fiduciary net position have been determined on the same basis as they are reported by URS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

1-E-*8. Capital Assets*

Capital assets includes property, plant, equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items), and are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of $5,000 and an estimated useful life in excess of two years. Such assets are recorded at historical cost or at estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair market value at the date of donation. Infrastructure is depreciated.

The cost of normal maintenance and repairs that does not add to the value of an asset or materially extend the assets' life is not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed. Interest incurred during the construction phase of capital assets of business-type activities is included as part of the capitalized value of the assets constructed. Upon retirement or disposition of capital assets, the cost and related accumulated depreciation are removed from the respective accounts. Depreciation of capital assets is computed using the straight-line method over their estimated useful lives.

Property, plant, and equipment of the primary government, as well as the component units if any, is depreciated using the straight line method over the following estimated useful lives:

Assets	Years
Buildings and improvements	30-50
Utility systems	20-40
Infrastructure	15-40
Vehicles and equipment	5-10

1-E-*9. Long-term Obligations*

In the government-wide and proprietary fund financial statements, long-term debt and obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund statement of net assets. Bond issuance costs, bond discounts or premiums, and the difference between the reacquisition price and the net carrying value of refunded debt are deferred and amortized over the terms of the respective bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount.

The governmental fund financial statements recognize the proceeds of debt and premiums as other financing sources of the current period. Issuance costs are reported as expenditures.

1-E-*10. Net position flow assumption*

Sometimes the Town will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted - net position and unrestricted - net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the Town's policy to consider restricted - net position to have been depleted before unrestricted - net position is applied.

1-E-*11. Fund balance flow assumptions*

Sometimes the Town will fund outlays for a particular purpose from both restricted and unrestricted resources (the total of committed, assigned, and unassigned fund balance). In order to calculate the amounts to reports as restricted, committed, assigned, and unassigned fund balance in the governmental fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the Town's policy to consider restricted fund balance to have been depleted before using the components of unrestricted fund balance. Further, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

1-E-*12. Fund balance policies*

Fund balance of governmental funds is reported in various categories based on the nature of any limitations requiring the use of resources for specific purposes. The Town itself can establish limitations on the use of resources through either a commitment (committed fund balance) or an assignment (assigned fund balance). The committed fund balance classification includes amounts that can be used only for the specific purposes determined by formal action of the Town's highest level of decision making authority. The Town Council is the highest level of decision-making authority for the Town that can, by adoption of an ordinance prior to the end of the fiscal year, commit fund balance. Once adopted, the limitation imposed by the ordinance remains in place until a similar action is taken (the adoption of another ordinance) to remove or revise the limitation.

1-E. Assets, Liabilities, and Net Position or Equity (continued)

1-E-*12. Fund balance policies (continued)*

Amounts in the assigned fund balance classification are intended to be used by the government for specific purposes, but do not meet the criteria to be classified as committed. The Council may also assign fund balance, as it does when appropriating fund balance, to cover a gap between estimated revenue and appropriations in the subsequent year's appropriated budget. Unlike commitments, assignments generally only exist temporarily. In other words, an additional action does not normally have to be taken for the removal of an assignment. Conversely, as discussed above, an additional action is essential to either remove or revise a commitment.

1-E-*13. Estimates*

The preparation of financial statements, in accordance with generally accepted accounting principles (GAAP), requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

NOTE 2 - STEWARDSHIP, COMPLIANCE AND ACCOUNTABILITY

2-A. Budgetary data

Annual budgets are prepared and adopted by ordinance by total for each department, in accordance with State law, by the Mayor and Town Council on or before June 22 for the following fiscal year beginning July 1. Estimated revenues and appropriations may be increased or decreased by resolution of the Town Council at any time during the year. A public hearing must be held prior to any proposed increase in a fund's appropriations. Budgets include activities in the General Fund. The level of the Town's budgetary control (the level at which the Town's expenditures cannot legally exceed appropriations) is established at the department level. Each department head is responsible for operating within the budget for their department. All annual budgets lapse at fiscal year end.

Utah State law prohibits the Town from creating a deficit fund balance by making expenditures in excess of amounts budgeted. Any deficit so created must be made up in the following fiscal year. Deficits arising from emergencies, however, may be retired over five years.

Once adopted, the budget may be amended by the Town Council without a hearing, provided the budgeted expenditures do not exceed budgeted revenues and appropriated fund balance. A public hearing must be held if the budgeted expenditures will exceed budgeted revenues and any fund balance which is available for budgeting. With the consent of the Mayor, department heads may reallocate unexpended appropriated balances from one expenditure account to another within that department during the budget year. Budgets for the General are prepared on the modified accrual basis of accounting. Encumbrances are not used.

2-B. Deficit fund net assets

None of the Town's funds have deficit balances.

NOTE 3 - DETAILED NOTES

3-A. Deposits and investments

Cash and investments as of June 30, 2016 consist of the following:

	Fair Value
Demand deposits	$ 6,099,055
Investments - PTIF	32,180,169
Total cash	**$ 38,279,224**

Cash and investments listed above are classified in the accompanying government-wide statement of net assets as follows:

Cash and cash equivalents (current)	$ 8,690,284
Restricted cash and cash equivalents (non-current)	29,588,940
Total cash and cash equivalents	**$ 38,279,224**

Cash equivalents and investments are carried at fair value in accordance with GASB Statement No. 72.

The Utah Money Management Act (UMMA) establishes specific requirements regarding deposits of public funds by public treasurers. UMMA requires that Town funds be deposited with a qualified depository which includes any depository institution which has been certified by the Utah State Commissioner of Financial Institutions as having met the requirements specified in UMMA Section 51, Chapter 7. UMMA provides the formula for determining the amount of public funds which a qualified depository may hold in order to minimize risk of loss and also defines capital requirements which an Institution must maintain to be eligible to accept public funds. UMMA lists the criteria for investments and specifies the assets which are eligible to be invested in, and for some investments, the amount of time to maturity.

UMMA enables the State Treasurer to operate the Public Treasurer's Investment Pool (PTIF). PTIF is managed by the Utah State Treasurer's investment staff and comes under the regulatory authority of the Utah Money Management Council. This council is comprised of a select group of financial professionals from units of local and state government and financial institutions doing business in the state. PTIF operations and portfolio composition is monitored at least semi-annually by the Utah Money Management Council. PTIF is unrated by any nationally recognized statistical rating organizations. Deposits in PTIF are not insured or otherwise guaranteed by the State of Utah. Participants share proportionally in any realized gains or losses on investments which are recorded on an amortized cost basis. The balance available for withdrawal is based on the accounting records maintained by PTIF. The fair value of the investment pool is approximately equal to the value of the pool shares. The Town maintains monies not immediately needed for expenditure in PTIF accounts.

3-A. Deposits and investments (continued)

Fair Value of Investments
The Town measures and records its investments using fair value measurement guidelines established by generally accepted accounting principles. These guidelines recognize a three-tiered fair value hierarchy, as follows: Level 1--Quoted prices for identical investments in active markets; Level 2--Observable inputs other than quoted market prices; and, Level 3--Unobservable inputs. At June 30, 2016, the Town's investments in PTIF had an approximate fair vaule of $32,180,169. The PTIF uses a Level 2 fair value measurement.

Deposit and Investment Risk
The Town maintains no investment policy containing any specific provisions intended to limit the Town's exposure to interest rate risk, credit risk, and concentration of credit risk other than that imposed by UMMA. The Town's compliance with the provisions of UMMA addresses each of these risks.

Interest rate risk
Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. All deposits and investments of the Town are available immediately.

Credit risk
Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligations. Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits. At June 30, 2016, all of the Town's demand deposits are covered by FDIC insurance.

Custodial credit risk for investments is the risk that, in the event of the failure of the counterparty (e.g., broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party. This risk is addressed through the policy of investing excess monies only in PTIF.

Concentration of credit risk
Concentration of credit risk is the risk of loss attributed to the magnitude of a government's investment in a single issuer. PTIF falls under the constraints of UMMA in limiting concentrations of investments.

3-B. Receivables

The allowance policy is described in Note 1-E-3. Receivables as of year end for the Town's funds are shown below:

	General Fund	RDA Fund	Water Fund	Sewer Fund	Storm Water Fund	Transp-ortation Fund	Total
Customers, current	$ 52,000	50,476	57,162	24,625	5,960	2,512	192,734
Property tax	1,464,076	-	-	-	-	-	1,464,076
Total receivables	**$ 1,516,075**	**50,476**	**57,162**	**24,625**	**5,960**	**2,512**	**1,656,810**

3-C. Capital Assets

Capital asset activity for the governmental activities was as follows:

Governmental activities	Beginning Balance	Additions	Retirements	Ending Balance
Capital assets, not being depreciated:				
Land and land rights	$ 2,266,684	8,487,990	-	10,754,674
Construction in progress	14,200,138	3,370,973	-	17,571,111
Total capital assets, not being depreciated	**16,466,822**	**11,858,963**	**-**	**28,325,785**
Capital assets, being depreciated:				
Buildings	567,709	-	-	567,709
Improvements other than buildings	39,698	-	-	39,698
Machinery and equipment	47,137	51,055	-	98,192
Infrastructure	9,359,213	17,235,759	-	26,594,972
Total capital assets, being depreciated	**10,013,756**	**17,286,814**	**-**	**27,300,570**
Less accumulated depreciation for:				
Buildings	302,570	14,478	-	317,047
Improvements other than buildings	26,939	1,993	-	28,933
Machinery and equipment	1,665,802	10,235	-	1,676,036
Infrastructure	28,097	311,971	-	340,068
Total accumulated depreciation	**2,023,408**	**338,676**	**-**	**2,362,084**
Total capital assets being depreciated, net	**7,990,349**	**16,948,138**	**-**	**24,938,486**
Governmental activities capital assets, net	**$ 24,457,170**	**28,807,101**	**-**	**53,264,272**

Depreciation expense was charged to functions/programs of the primary government governmental activities was follows:

Governmental activities:	
General government	$ 17,829
Highways and public improvements	317,042
Parks, recreation and public property	3,805
Total	**$ 338,676**

3-C. Capital Assets (continued)

Capital asset activity for the business-type activities was as follows:

Business-type activities	Beginning Balance	Additions	Retirements	Ending Balance
Capital assets, not being depreciated:				
Land and water shares	$ 531,575	-	-	531,575
Construction in progress	1,534,363	29,092	-	1,563,455
Total capital assets, not being depreciated	**2,065,938**	**29,092**	**-**	**2,095,030**
Capital assets, being depreciated:				
Water system	2,389,276	-	-	2,389,276
Sewer system	7,952,573	-	-	7,952,573
Total capital assets, being depreciated	**10,341,849**	**-**	**-**	**10,341,849**
Less accumulated depreciation for:				
Water system	311,772	68,530	-	380,302
Sewer system	735,988	262,772	-	998,761
Total accumulated depreciation	**1,047,760**	**331,303**	**-**	**1,379,063**
Total capital assets being depreciated, net	**9,294,089**	**(331,303)**	**-**	**8,962,786**
Business-type activities capital assets, net	**$ 11,360,027**	**(302,210)**	**-**	**11,057,816**

Depreciation expense was charged to functions/programs of the primary government business-type activities was follows:

Business-type activities:	
Water	$ 68,530
Sewer	262,772
Total	**$ 331,303**

3-D. Long-term debt

Long-term liability activity for the year ended June 30, 2016 was as follows:

Governmental activities:	Original Principal	% Rate	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
2012 RDA Revenue Bonds							
Matures 2032	$ 10,000,000	3.46	$ 8,923,000	-	384,000	8,539,000	396,000
2013 RDA Revenue Bonds							
Matures 2033	8,717,000	3.19	8,099,000	-	304,000	7,795,000	312,000
2016 Rail Spur Bonds							
Matures 2026	16,150,000	3.00	-	16,150,000	-	16,150,000	1,669,000
Total bonds payable			17,022,000	16,150,000	688,000	32,484,000	2,377,000
Note Payable - Developer	8,110,267	-	7,533,398	-	183,629	7,349,769	-
Total governmental activity long-term liabilities			**$ 24,555,398**	**16,150,000**	**871,629**	**39,833,769**	**2,377,000**

Business-type activities:	Original Principal	% Rate	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Note Payable - Developer	$ 8,731,111	-	$ 6,513,715	-	535,778	5,977,937	-
Total business-type activity long-term liabilities			**$ 6,513,715**	**-**	**535,778**	**5,977,937**	**-**

Notes Payable - During the 2013 fiscal year, the Town entered into an agreement to reimburse The Homestead, a developer, for work performed. The developer placed culinary water and sanitary sewer pipes, constructed roads, and storm drains. The Town has agreed to reimburse the developer with a percentage of impact fees that are collected for the area the work was performed. Because reimbursement is contingent upon impact fees collected, there is no amortization schedule for this note.

Tax Increment Revenue Bond - During 2012, the Town issued a bond to finance the acquisition of land, construct culinary water projects and sanitary sewer projects, the placement of dry utilities and infrastructures, construction of roads, and other related projects within the Project Area. Principal payments are to be made annually on May 1st, and interest is to be paid semi-annually on November 1st and May 1st of each year.

Tax Increment Revenue Bond - During 2013 the Town issued a new bond to finance the acquisition of land, construct culinary water projects and sanitary sewer projects, the placement of dry utilities and infrastructures, the construction of roads, and other related projects within the Project Area. Principal payments are to be made annually on May 1st, and interest is to be paid semi-annually on November 1st and May 1st of each year.

3-D. Long-term debt (continued)

Rail Spur Bonds - During 2016, the Town issued a bond to finance the removal and relocation of the UPRR rail spur that currently fronts Geneva road. This project will clean up the Geneva Road corridor and allow more access off Geneva Road.

Debt service requirements to maturity for governmental activities are as follows:

	Principal	Interest	Total
2017	$ 2,377,000	710,270	3,087,270
2018	2,156,421	993,310	3,149,730
2019	2,224,183	947,358	3,171,541
2020	2,297,229	896,382	3,193,611
2021	2,374,596	836,684	3,211,280
2022 - 2026	16,928,572	2,163,618	19,092,190
2027 - 2031	2,362,000	-	2,362,000
2032 - 2033	1,764,000	-	1,764,000
Total	**$ 32,484,000**	**6,547,622**	**39,031,622**

3-E. Redevelopment Agency disclosures

In accordance with Section 17A-2-1217(3), the following information is provided for the Redevelopment Agency Fund:

a) The tax increment collected by the Development Agency was as follows:

Geneva Urban Renewal Project	$ 5,149,198

b) The outstanding principal amount of bonds issued to finance the costs associated with the project areas are as follows:

Tax Increment Revenue Bonds	$ 16,334,000

c) The following amounts were expended during the year ended June 30, 2016:

Site improvements	$ 2,881,806
Bond payments	1,285,636
Administrative costs	554,902
Total	$ 4,722,344

3-F. Interfund receivable, payables, and transfers

Interfund transfers:

	Transfers In	Transfers Out
Capital Projects Fund	$ -	91,851
Sewer Fund	91,851	-
Total	**$ 91,851**	**91,851**

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them and (2) move unrestricted revenues collected in the general fund to finance various programs accounted for in the other funds in accordance with budgetary authorizations.

NOTE 4 - OTHER INFORMATION

4-A. Risk management

The Town is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; and natural disasters. The Town participates in the Utah Local Government Trust, a public agency insurance mutual, which provides coverage for property damage and general liability. The Town is subject to a minimal deductible for claims. There have been no significant reductions in insurance coverage from coverage in the prior year. Amounts of settlements have not exceeded insurance coverage in any of the past three fiscal years.

4-B. Rounding Convention

A rounding convention to the nearest whole dollar has been applied throughout this report, therefore the precision displayed in any monetary amount is plus or minus $1. These financial statements are computer generated and the rounding convention is applied to each amount displayed in a column, whether detail item or total. As a result, without the overhead cost of manually balancing each column, the sum of displayed amounts in a column may not equal the total displayed. The maximum difference between any displayed number or total and its actual value will not be more than $1.

4-C. Subsequent Events

The Town has evaluated subsequent events through January 24, 2017, the date the financial statements were available to be issued.

4-D. Pension Plans

General Information about the Pension Plan

Plan description:
Eligible plan participants are provided with pensions through the Utah Retirement Systems. The Utah Retirement Systems are comprised of the following Pension Trust funds:

Public Employees Noncontributory Retirement System (Noncontributory System) is a multiple employer, cost sharing, public employee retirement system:

Tier 2 Public Employees Contributory Retirement System (Tier 2 Public Employees System) is a multiple employer cost sharing public employer retirement system;

The Tier 2 Public Employees System became effective July 1, 2011. All eligible employees beginning on or after July 1, 2011, who have no previous service credit with any of the Utah Retirement Systems, are members of the Tier 2 Retirement System.

The Utah Retirement Systems (Systems) are established and governed by the respective sections of Title 49 of the Utah Code Annotated 1953, as amended. The Systems' defined benefit plans are amended statutorily by the State Legislature. The Utah State Retirement Office Act in Title 49 provides for the administration of the Systems under the direction of the Board, whose members are appointed by the Governor. The Systems are fiduciary funds defined as pension (and other employee benefit) trust funds. URS is a component unit of the State of Utah. Title 49 of the Utah Code grants the authority to establish and amend the benefit terms.

URS issues a publicly available financial report that can be obtained by writing Utah Retirement Systems, 560 E. 200 S, Salt Lake City, Utah 84102 or visiting the website: www.urs.org.

Benefits provided:
URS provides retirement, disability, and death benefits. Retirement benefits are as follows:

System	Final Average Salary	Years of service required and/or age eligible for benefit	Benefit percentage per year of service	Cola **
Noncontributory System	Highest 3 Years	30 years any age 25 years any age* 20 years age 60* 10 years age 62* 4 years age 65	2.0% per year all years	Up to 4%
Tier 2 Public Employees System	Highest 5 Years	35 years any age 20 years any age 60* 10 years age 62* 4 years age 65	1.5% per year all years	Up to 2.5%

* with actuarial reductions

** All past-retirement cost-of-living adjustments are non-compounding and are based on the original benefit except for Judges, which is a compounding benefit. The cost-of-living adjustments are also limited to the actual Consumer Price Index (CPI) increase for the year, although unused CPI increases not met may be carried forward to subsequent years.

4-D. Pension Plans (continued)

Contributions:
As a condition of participation in the Systems, employers and/or employees are required to contribute certain percentages of salary and wages as authorized by statute and specified by the URS Board. Contributions are actuarially determined as an amount that, when combined with employee contributions (where applicable) is expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded actuarial accrued liability.

Contribution rates are as follows:

Utah Retirement Systems	Employee Paid	Paid by Employer for Employee	Employer Contribution Rate	Employer Rate for 401(k) Plan
Contributory System				
111 - Local Government Div - Tier 2	N/A	N/A	16.67	1.78
Noncontributory System				
15 - Local Government Div - Tier 1	N/A	N/A	18.47	N/A

Tier 2 rates include a statutory required contribution to finance the unfunded actuarial accrued liability of the Tier 1 plans.

For the fiscal year ended June 30, 2016, the employer and employee contributions to the Systems were as follows:

System	Employer Contributions	Employee Contributions
Noncontributory System	$ 47,587	N/A
Tier 2 Public Employees System	21,683	-
Total Contributions	**$ 69,270**	-

Contributions reported are the URS Board approved required contributions by System. Contributions in the Tier 2 Systems are used to finance the unfunded liabilities in the Tier 1 Systems.

Pension Assets, Liabilities, Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2016, we reported a net pension asset of $36 and a net pension liability of $151,600.

	Proportionate Share	Net Pension Asset	Net Pension Liability
Noncontributory System	0.0267916%	$ -	$ 151,600
Tier 2 Public Employees System	0.0164267%	36	-
Total		**$ 36**	**$ 151,600**

4-D. Pension Plans (continued)

The net pension asset and liability was measured as of December 31, 2015, and the total pension liability used to calculate the net pension asset and liability was determined by an actuarial valuation as of January 1, 2015 and rolled-forward using generally accepted actuarial procedures. The proportion of the net pension asset and liability is equal to the ratio of the employer's actual contributions to the Systems during the plan year over the total of all employer contributions to the System during the plan year.

For the year ended June 30, 2016, we recognize pension expense of $50,878.

At June 30, 2016, we reported deferred outflows of resources and deferred inflows of resources relating to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	$ -	$ 8,058
Changes in assumptions	-	8,643
Net difference between projected and actual earnings on pension plan investments	52,125	-
Changes in proportion and difference between contributions and proportionate share of contributions	38,863	-
Contributions subsequent to the measurement date	39,943	-
Total	**$ 130,931**	**$ 16,701**

$39,943 was reported as deferred outflows of resources related to pensions results from contributions made by us prior to our fiscal year end, but subsequent to the measurement date of December 31, 2015. These contributions will be recognized as a reduction of the net pension liability in the upcoming fiscal year.

Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended December 31,	Net Deferred Outflows (Inflows) of Resources
2016	$ 18,808
2017	18,808
2018	18,957
2019	18,222
2020	(95)
Thereafter	(413)

4-D. Pension Plans (continued)

Actuarial assumptions:
The total pension liability in the December 31, 2015, actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.75 Percent
Salary increases	3.50 - 10.50 percent, average, including inflation
Investment rate of return	7.50 percent, net of pension plan investment expense, including inflation

Mortality rates were developed from actual experience and mortality tables, based on gender, occupation and age, as appropriate, with adjustments for future improvement in mortality based on Scale AA, a model developed by the Society of Actuaries.

The actuarial assumptions used in the January 1, 2015, valuation were based on the results of an actuarial experience study for the five year period ending December, 31, 2013.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best- estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.

The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

	Expected Return Arithmetic Basis		
Assets class	Target Asset Allocation	Real Return Arithmetic Basis	Long Term expected portfolio real rate of return
Equity securities	40%	7.06%	2.82%
Debt securities	20%	0.80%	0.16%
Real assets	13%	5.10%	0.66%
Private equity	9%	11.30%	1.02%
Absolute return	18%	3.15%	0.57%
Cash and cash equivalents	0%	0.00%	0.00%
Totals	**100.00%**		**5.23%**
Inflation			2.75%
Expected arithmetic nominal return			7.98%

The 7.50% assumed investment rate of return is comprised of an inflation rate of 2.75%, a real return of 4.75% that is net of investment expense.

4-D. Pension Plans (continued)

Discount rate:
The discount rate used to measure the total pension liability was 7.50 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that contributions from all participating employers will be made at contractually required rates that are actuarially determined and certified by the URS Board. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the proportionate share of the net pension asset and liability to changes in the discount rate:
The following presents the proportionate share of the net pension liability calculated using the discount rate of 7.50 percent, as well as what the proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.50 percent) or 1-percentage-point higher (8.50 percent) than the current rate:

System	1% Decrease (6.50%)	Discount Rate (7.50%)	1% Increase (8.50%)
Noncontributory System	$ 320,316	151,600	10,758
Tier 2 Public Employees System	6,576	(36)	(5,047)
Total	**$ 326,892**	**151,564**	**5,711**

Pension plan fiduciary net position:
Detailed information about the pension plan's fiduciary net position is available in the separately issued URS financial report.

Defined Contribution Savings Plan:
The Defined Contribution Savings Plans are administered by the Utah Retirement Systems Board and are generally supplemental plans to the basic retirement benefits of the Retirement Systems, but may also be used as a primary retirement plan. These plans are voluntary tax-advantaged retirement savings programs authorized under sections 401(k), 457(b) and 408 of the Internal Revenue code. Detailed information regarding plan provisions is available in the separately issued URS financial report.

The Town participates in the following Defined Contribution Savings Plans with the Utah Retirement Systems:

- 401(k) Plan

Employee and employer contributions to the Utah Retirement Contribution Savings Plans for fiscal year ended June 30, 2016, were as follows:

	2016	2015	2014
401(k) Plan			
Employer Contributions	$ 35,493	$ 16,037	$ 770
Employee Contributions	11,270	3,827	150

REQUIRED SUPPLEMENTARY INFORMATION
(Unaudited)

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Budgetary Comparison Schedules

The Budgetary Comparison Schedules presented in this section of the report are for the Town's General Fund and Redevelopment Agency Fund.

Budgeting and Budgetary Control

The budget for the General Fund is legally required and is prepared and adopted on the modified accrual basis of accounting.

Original budgets represent the revenue estimates and spending authority authorized by the Town Council prior to the beginning of the year. Final budgets represent the original budget amounts plus any amendments made to the budget during the year by the Council through formal resolution. Final budgets do not include unexpended balances from the prior year because such balances automatically lapse to unreserved fund balance at the end of each year.

Current Year Excess of Expenditures over Appropriations

For the year ended June 30, 2016, spending exceeded appropriations in the following departments:

General government by $807
Public safety by $5,803

Changes in Assumptions Related to Pensions

Regarding the Schedule of the Proportionate Share of the Net Pension Liability and the Schedule of Contributions presented in this section, the following assumption changes were adopted from the most recent actuarial experience study:

There was a decrease in the wage inflation assumption for all employee groups from 3.75% to 3.50%. Also there was a modification to the rate of salary increases for most groups. The payroll growth assumption was a decrease from 3.5% to 3.25%. There was an improvement in the post retirement mortality assumption for female educators and minor adjustments to the pre retirement mortality assumption.

There were additional changes to certain demographic assumptions that generally resulted in: (1) more members are anticipated to terminate employment prior to retirement, (2) slightly fewer members are expected to become disabled, and (3) members are expected to retire at a slightly later age.

Town of Vineyard

SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - BUDGET AND ACTUAL - GENERAL FUND

For the Year Ended June 30, 2016

	Budgeted Original	Budgeted Final	Actual	Variance with Final Budget
Revenues				
Taxes	$ 1,250,000	1,430,000	1,716,601	286,601
Licenses and permits	257,500	837,500	913,731	76,231
Intergovernmental revenues	23,000	23,000	26,251	3,251
Charges for services	391,000	625,400	648,964	23,564
Fines and forfeitures	5,500	5,500	17,863	12,363
Interest	15,000	15,000	37,545	22,545
Miscellaneous revenue	6,000	6,000	4,803	(1,197)
Total revenues	**1,948,000**	**2,942,400**	**3,365,757**	**423,357**
Expenditures				
General government	966,000	1,223,400	1,224,207	(807)
Public safety	405,000	408,000	413,803	(5,803)
Streets and public works	419,000	436,000	299,305	136,695
Parks and recreation	75,000	75,000	54,145	20,855
Total expenditures	**1,865,000**	**2,142,400**	**1,991,459**	**150,941**
Excess (deficiency) of revenues over (under) expenditures	**83,000**	**800,000**	**1,374,298**	**574,298**
Other financing sources and (uses)				
Transfers in (out)	(83,000)	(800,000)	(800,000)	-
Total other financing sources and (uses)	**(83,000)**	**(800,000)**	**(800,000)**	**-**
Net change in fund balances	**-**	**-**	**574,298**	**574,298**
Fund balances - beginning of year	1,547,797	1,547,797	1,547,797	-
Fund balances - end of year	**$ 1,547,797**	**1,547,797**	**2,122,095**	**574,298**

Town of Vineyard

SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - BUDGET AND ACTUAL - REDEVELOPMENT AGENCY FUND

For the Year Ended June 30, 2016

	Budgeted Original	Budgeted Final	Actual	Variance with Final Budget
Revenues				
Taxes	$ 4,600,000	5,149,198	5,149,198	-
Charges for services	34,864	34,864	74,407	39,543
Interest	37,000	50,000	162,581	112,581
Total revenues	**4,671,864**	**5,234,062**	**5,386,186**	**152,124**
Expenditures				
General government	3,829,864	5,578,436	4,722,344	856,092
Total expenditures	**3,829,864**	**5,578,436**	**4,722,344**	**856,092**
Excess (deficiency) of revenues over (under) expenditures	**842,000**	**(344,374)**	**663,842**	**1,008,216**
Other financing sources and (uses)				
Bond proceeds	-	16,157,372	16,150,000	(7,372)
Total other financing sources and (uses)	**-**	**16,157,372**	**16,150,000**	**7,372**
Net change in fund balances	**842,000**	**15,812,998**	**16,813,842**	**1,000,844**
Fund balances - beginning of year	11,904,948	11,904,948	11,904,948	-
Fund balances - end of year	**$ 12,746,948**	**27,717,946**	**28,718,790**	**1,000,844**

Town of Vineyard

SCHEDULE OF THE PROPORTIONATE SHARE OF THE NET PENSION LIABILITY

June 30, 2016

Last 10 Fiscal Years*

	2015	2014
Noncontributory Retirement System		
Proportion of the net pension liability (asset)	0.0267916%	0.0164841%
Proportionate share of the net pension liability (asset)	$ 151,600	$ 71,578
Covered employee payroll	$ 200,661	$ 121,762
Proportionate share of the net pension liability (asset) as a percentage of its covered-employee payroll	75.55%	58.80%
Plan fiduciary net position as a percentage of the total pension liability	87.80%	90.20%
Tier 2 Public Employee System		
Proportion of the net pension liability (asset)	0.0164267%	0.0131259%
Proportionate share of the net pension liability (asset)	$ (36)	$ (398)
Covered employee payroll	$ 106,132	$ 64,352
Proportionate share of the net pension liability (asset) as a percentage of its covered-employee payroll	-0.03%	-0.60%
Plan fiduciary net position as a percentage of the total pension liability	100.20%	103.50%

* In accordance with paragraph 81.a of GASB 68, employers will need to disclose a 10-year history of their proportionate share of the Net Pension Liability (Asset) in their RSI. The 10-year schedule will need to be built prospectively. The schedule above is only for the last two years.

Town of Vineyard

SCHEDULE OF CONTRIBUTIONS

June 30, 2016

Last 10 Fiscal Years*

	As of fiscal year ended June 30,	Actuarial Determined Contributions	Contributions in relation to the contractually required contribution	Contribution deficiency (excess)	Covered employee payroll	Contributions as a percentage of covered employee payroll
Noncontributory Retirement System	2014	$ 13,468	$ 13,468	$ -	$ 77,896	17.29%
	2015	31,458	31,458	-	171,009	18.40%
	2016	47,587	47,587	-	248,853	19.12%
Tier 2 Public Emplyoees System	2014	$ 7,498	$ 7,498	$ -	$ 54,092	13.86%
	2015	11,989	11,989	-	90,991	13.18%
	2016	21,683	21,683	-	145,428	14.91%

* Paragraph 81.b of GASB 68 requires employers to disclose a 10-year history of contributions in RSI. The 10-year schedule will need to be built prospectively. The schedule above is only for the past 3 years.

Contributions in Tier 2 inclue an amortization rate to help fund the unfunded liabilities in the Tier 2 systems. Tier 2 systems were created effective July 1, 2011.

Contributions as a percentage of covered-payroll may be different than the board certified rate due to rounding and other administrative issues.

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INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

Honorable Mayor and Town Council
Town of Vineyard
Vineyard, UT

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Town of Vineyard, as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise the Town of Vineyard's basic financial statements, and have issued our report thereon dated January 24, 2017.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the Town of Vineyard's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Town of Vineyard's internal control. Accordingly, we do not express an opinion on the effectiveness of the Town of Vineyard's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe that a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Town of Vineyard's financial statements are free from material misstatement, we preformed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance

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with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards.*

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report in an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Gilbert & Stewart

GILBERT & STEWART
Certified Public Accountants
January 24, 2017

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INDEPENDENT AUDITORS' REPORT AS REQUIRED BY THE *STATE COMPLIANCE AUDIT GUIDE* ON COMPLIANCE WITH GENERAL STATE COMPLIANCE REQUIREMENTS AND INTERNAL CONTROL OVER COMPLIANCE

Honorable Mayor and Town Council
Town of Vineyard
Vineyard, UT

Report On Compliance with General State Compliance Requirements

We have audited Town of Vineyard's ("the Town") compliance with the applicable general state compliance requirements described in the *State Compliance Audit Guide*, issued by the Office of the Utah State Auditor, that could have a direct and material effect on the Town for the year ended June 30, 2016.

General state compliance requirements were tested for the year ended June 30, 2016 in the following areas:

Budgetary Compliance
Fund Balance
Utah Retirement Systems
Justice Court
Restricted Taxes and Related Revenues
Open and Public Meetings Act
Treasurer's Bond
Cash Management

Management's Responsibility

Management is responsible for compliance with the general state requirements referred to above.

Auditor's Responsibility

Our responsibility is to express an opinion on the Town's compliance based on our audit of the compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States; and the *State Compliance Audit Guide*. Those standards and the *State Compliance Audit Guide* require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the compliance requirements referred to above that could have a direct and material effect on the Town occurred. An audit includes examining, on a test basis, evidence about the Town's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance with general state compliance requirements. However, our audit does not provide a legal determination of the Town's compliance.

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Opinion on General State Compliance Requirements

In our opinion, Town of Vineyard, complied, in all material respects, with the general compliance requirements identified above for the year ended June 30, 2016.

Other Matters

The results of our auditing procedures disclosed instances of noncompliance, which are required to be reported in accordance with the State Audit Guide and which are described in the accompanying letter of communication with those charged with governance as items 2016-1. Our opinion on compliance was not modified with respect to these matters.

The Town's response to the noncompliance findings identified in our audit is described in the accompanying letter of communication with those charged with governance. The Town's response was not subjected to the auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Report on Internal Control over Financial Reporting

Management of the Town is responsible for establishing and maintaining effective internal control over compliance with the compliance requirements referred to above. In planning and performing our audit of compliance, we considered the Town's internal control over compliance with the compliance requirements that could have a direct and material effect on the Town to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance with general state compliance requirements and to test and report on internal control over compliance in accordance with the *State Compliance Audit Guide*, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the Town's internal control over compliance.

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a general state compliance requirement on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a general state compliance requirement will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a general state compliance requirement that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

We noted matters involving internal control over compliance which we are submitting for your consideration. These matters are described in the accompanying letter of communication with those charged with governance as items 2016-1.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control and compliance and the results of that testing based on the requirements of the *State Compliance Audit Guide*. Accordingly, this report is not suitable for any other purpose.

Gilbert & Stewart

January 24, 2017